BAC

Bank of Aleppo Commercial
Corporate Banking · Credit Risk Management

CONFIDENTIAL | FICTIONAL CASE STUDY

CREDIT MEMORANDUM · NEW FACILITIES

Qalaa Olive & Laurel Industries LLC

USD 2.4 million Term Loan and USD 0.9 million Revolving Credit Facility for a cold-press & bottling line, a 1.0 MWp solar plant and seasonal working capital

Recommendation: APPROVE WITH CONDITIONS

TOTAL EXPOSURE **USD 3.30m**	MIN DSCR – BASE **1.77x**	MIN DSCR – DOWNSIDE **1.27x**
PRO-FORMA DEBT / EBITDA **1.73x**	LTV (MARKET / LENDING VALUE) **40% / 72%**	INTERNAL RATING **BAC-4 Satisfactory**

REFERENCE	BAC/CCR/2026/0417	DATE	13 October 2026
BORROWER	Qalaa Olive & Laurel Industries LLC, Sheikh Najjar Industrial City, Aleppo	SEGMENT	Mid-corporate · Food manufacturing
PREPARED BY	**Yamen Agha**, Credit Analyst, Corporate Credit	APPROVAL LEVEL	Credit Committee
RELATIONSHIP	New-to-bank borrower (account opened Jun-2026)	CURRENCY / UNITS	USD; tables in USD '000

PURPOSE
Productivity & energy capex (75% debt-funded) and seasonal working capital

PRIMARY REPAYMENT SOURCE
Operating cash flow from USD-invoiced Gulf exports

SECURITY
Factory mortgage, equipment pledge, receivables & stock, DSRA, personal guarantee

KEY CONDITIONS
Clean title & registered mortgage, USD 0.8m sponsor equity, KYC/sanctions clearance

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How to read this memo. Section 2 is the decision page. Sections 4–7 carry the numbers; every figure ties to the accompanying Excel model (*Qalaa_Olive_Credit_Model.xlsx*), which uses live formulas and passes all 10 integrity checks (balance sheet balances, cash ties, loans fully repaid, sensitivity grid reconciles to the base case).

Abbreviations

DSCR Debt service coverage ratio · **CFADS** Cash flow available for debt service · **LTV** Loan-to-value · **RCF** Revolving credit facility · **TL** Term loan · **DSRA** Debt service reserve account · **NWC** Net working capital · **DSO/DIO/DPO** Days sales / inventory / payables outstanding · **SOFR** Secured Overnight Financing Rate · **SYP** Syrian pound · **CP** Condition precedent · **PG** Personal guarantee · **PD** Probability of default

1 Requested facilities and terms

The borrower requests total new commitments of **USD 3.30m**: a five-year amortising term loan to finance a productivity and energy project, and a one-year revolver to support the seasonal olive-oil cycle. Both facilities are USD-denominated and will be serviced primarily from USD export receipts.

Term	Facility A – Term Loan	Facility B – Revolving Credit Facility
Borrower	Qalaa Olive & Laurel Industries LLC (Aleppo)	Same
Amount	**USD 2,400,000**	**USD 900,000** (committed limit)
Purpose	75% of a USD 3.2m capex project: two-phase decanter and cold-press line, automated bottling & labelling line, 1.0 MWp rooftop solar PV with battery storage	Refinance USD 0.6m short-term line at another bank; fund olive purchases during the Oct–Feb harvest and Gulf export receivables
Tenor	5 years from first drawdown (final maturity 31 Dec 2031)	12 months, renewable annually subject to review
Availability	Up to 6 months; drawn against supplier invoices / LC payments direct to suppliers	Borrowing base: 70% of eligible export receivables + 50% of finished-goods stock
Pricing	3M Term SOFR + 6.00% p.a., floor 9.25% (modelled at 9.75% all-in)	3M Term SOFR + 5.25% p.a., floor 8.75% (modelled at 9.00%); commitment fee 0.50% on undrawn
Fees	Arrangement fee 1.00% of facility amount	Arrangement fee 1.00% of limit
Repayment	12-month principal grace (FY2027 interest only), then 16 equal quarterly instalments of USD 150,000 (Q1-2028 to Q4-2031)	Revolving; annual clean-down to ≤ USD 300k for 30 consecutive days (Jul–Sep off-season)
Security (shared, cross-collateralised)	First-degree mortgage over factory land & buildings; pledge over new equipment and solar plant; DSRA of one quarter's debt service; assignment of insurances; PG of majority shareholder	Assignment of export receivables and credit-insurance proceeds; pledge over finished-goods inventory; all TL security on a second-ranking basis
Key covenants	DSCR ≥ 1.25x; Debt/EBITDA ≤ 3.00x; Debt/Equity ≤ 1.50x; current ratio ≥ 1.20x; dividend lock-up	As Facility A, plus monthly borrowing-base certificate

Sources and uses – capex project (USD '000)

Uses	USD '000	%	Sources	USD '000	%
Decanter, cold-press & bottling line (Italy, CIF Aleppo)	2,150	67%	Facility A – BAC term loan	2,400	75%
Solar PV 1.0 MWp + battery storage (EPC)	850	27%	Shareholder cash injection	400	13%
Installation, civil works & contingency	200	6%	Internal cash (FY2026 cash flow)	400	13%
Total project cost	**3,200**	**100%**	**Total sources**	**3,200**	**100%**

Pro-forma BAC exposure and key dates

Item	Detail
Facility A – term loan	2,400
Facility B – revolver (limit)	900
Total BAC commitments	**3,300**
Pro-forma total debt at drawdown	3,430 (incl. RCF 70% drawn and existing loan 400)
First drawdown (target)	November 2026
Solar plant commissioning	Mid-2027
First principal instalment	31 March 2028
Final maturity	31 December 2031

Repayment schedule and total debt service (base rates)

USD '000	FY2026E	FY2027	FY2028	FY2029	FY2030	FY2031
TL opening balance		2,400	2,400	1,800	1,200	600
TL drawdown	2,400	–	–	–	–	–
TL scheduled repayment	–	–	600	600	600	600
TL closing balance	**2,400**	**2,400**	**1,800**	**1,200**	**600**	**–**
TL interest		234	234	176	117	58
RCF interest & commitment fee		58	58	58	58	58
Existing loan (other lender): principal + interest		240	220	–	–	–
Total debt service		**532**	**1,112**	**834**	**775**	**717**

RCF assumed 70% drawn on average; interest on opening balances (conservative). FY2028 is the peak debt-service year: first full year of TL amortisation overlaps the final year of the existing USD 0.4m loan (permitted debt, intercreditor letter required).

2 Executive summary and recommendation

RECOMMENDATION | **APPROVE WITH CONDITIONS**

USD 2.40m Term Loan + USD 0.90m RCF · Internal rating BAC-4 (Satisfactory) · Indicative PD 1.5%

MIN DSCR – BASE	MIN DSCR – DOWNSIDE	MIN DSCR – COMBINED STRESS	PRO-FORMA DEBT / EBITDA	LTV MARKET / LENDING VALUE	COLLATERAL COVERAGE
1.77x	**1.27x**	**0.78x**	**1.73x**	**40% / 72%**	**1.39x**
covenant 1.25x	*sales –10%, costs up, +200bp*	*covered by DSRA*	*FY2025 actual 0.65x*	*policy max 85%*	*after haircuts*

The request. Qalaa Olive & Laurel Industries LLC ("Qalaa" or "the Company"), a family-owned Aleppo producer of extra-virgin olive oil, table olives and traditional Aleppo laurel soap, requests a USD 2.40m five-year term loan and a USD 0.90m revolver. The term loan finances 75% of a USD 3.2m project that adds a modern cold-press and bottling line and a 1.0 MWp solar plant. The project targets two things that matter for credit: higher-margin bottled exports to the Gulf, and lower dependence on expensive diesel generation.

Why we can lend. Qalaa has grown revenue from USD 6.18m to USD 8.86m over FY2023–FY2025 (CAGR 19.7%), with EBITDA margin expanding to 20.8% and net income of USD 1.07m in FY2025. Existing leverage is low (Debt/EBITDA 0.65x, Debt/Equity 0.25x), interest cover is 14.7x, and 55% of FY2025 sales were exports invoiced in USD, giving a natural hedge against the Syrian pound. In the base case the minimum DSCR is **1.77x** in FY2028, the peak repayment year, and the term loan is fully repaid from operating cash flow by FY2031 while leverage falls below 1.0x by FY2028.

What could go wrong. The main risks are country and FX risk (thin correspondent banking, SYP volatility after the 2026 redenomination), energy cost and reliability, harvest volatility, key-person risk in a family business, and slow, uncertain enforcement of security in Aleppo. Our stress tests show the structure survives a stand-alone 10% sales fall with higher costs and rates (DSCR 1.27x) and a 50% SYP depreciation (DSCR 1.29x). In a severe combined scenario the FY2028 DSCR falls to 0.78x: a cash gap of about 255k that the 278k DSRA covers, while cumulative cash after debt service stays positive (minimum 111k).

Key strengths

- 28-year operating history; integrated model (olive oil → pomace oil → laurel soap) with high by-product use.
- USD export revenue (55%) and a Dubai distribution partner.
- Strong starting balance sheet: Debt/EBITDA 0.65x, current ratio 2.28x.
- Project lowers energy cost from ~9% to ~5% of sales and lifts EBITDA margin to ~24%.
- Full repayment inside five years; tangible security with 1.39x lending-value cover.

Key risks → mitigants

- **FX / SYP** → USD pricing of exports; export proceeds routed via BAC; FX stress tested.
- **FY2028 repayment peak** → 12-month grace; DSRA; dividend lock-up below 1.50x DSCR.
- **Energy** → solar PV with performance guarantee; diesel as back-up.
- **Enforcement** → conservative haircuts (40% on real estate); PG; cash collateral.
- **Governance** → audited accounts, quarterly reporting, key-person insurance.

Key conditions (Section 9): registered first-degree mortgage and clean title; USD 0.8m sponsor equity paid in before first drawdown; DSRA funded; KYC and sanctions screening of all shareholders, Gulf buyers and suppliers; release letter from the existing short-term lender; legal opinion on enforceability.

3 Borrower, ownership, management, industry and macro

3.1 Company profile

Qalaa operates a 14,000 m² plant in Sheikh Najjar Industrial City, north-east of Aleppo, which reopened in phases after 2017. The plant presses about 9,000 tonnes of olives per season into olive oil, bottles part of it under the *Qalaa Gold* brand, cures traditional Aleppo laurel soap from olive-pomace oil and laurel oil, and packs table olives. Revenue mix FY2025: olive oil 62% (of which bottled 24%), laurel soap 23%, table olives 15%. Export markets are the UAE, Saudi Arabia, Qatar, Iraq and Jordan, with small soap volumes to the EU through a Lyon importer. Domestic sales go to wholesalers in Aleppo and Damascus and are priced in SYP.

3.2 Ownership

Shareholder	Stake	Role and background
Khaled Al-Sabbagh	55%	Founder & Chairman, 64. Founded the business in 1998 as a single olive press; leads olive sourcing relationships in the Afrin and Idlib countryside.
Omar Al-Sabbagh	25%	Managing Director, 36. MBA; ran a food-distribution business in Dubai 2015–2024; returned in 2025 and built the Gulf export channel.
Lina Al-Sabbagh	10%	Chief Financial Officer, 33. Chartered accountant; introduced IFRS-based reporting and an external audit in 2023.
Al-Noor Foods Trading FZE (Dubai)	10%	Strategic minority investor and exclusive GCC distributor for bottled oil; UBO subject to KYC as a CP.

3.3 Management and organisation

Function	Lead	Comment
Production & Quality	Eng. Hassan Darwish (since 2004)	Runs pressing, soap curing and the ISO 22000 programme
Export Sales	Reem Khoury (since 2025)	GCC retail listings, LC documentation, credit insurance
Finance	Lina Al-Sabbagh, CFO	Monthly management accounts, treasury and FX
Headcount	186 permanent + ~120 seasonal	Seasonal workers hired for the Oct–Feb harvest

Assessment: capable and committed owner-managers with relevant export experience; key-person risk is concentrated in the founder (sourcing) and the MD (exports). Board has no independent members. Accounts audited by a local firm since FY2023 (unqualified opinions).

3.4 Business model and seasonality

Olives are bought from about 1,400 smallholders during the October–February harvest and must be pressed within 48 hours. Cash goes out early (olive purchases, seasonal wages, diesel) while export receipts arrive months later. This explains the high year-end inventory (DIO ~126 days at 31 December, the post-harvest peak) and why a seasonal revolver, rather than term debt, is the right tool for working capital. Oil is stored in nitrogen-blanketed stainless tanks and sold through the year; laurel soap needs 6–9 months of curing, which adds to stock.

3.5 Macro environment: Syria after 2025

Driver	Situation (public information, simplified)	Impact on this credit
Sanctions & banking access	US comprehensive sanctions lifted (E.O. 14312, June 2025); Caesar Act repealed (Dec 2025); EU economic sanctions largely lifted (2025); State Sponsor of Terrorism designation rescinded (Aug 2026). Targeted listings and some export controls remain; correspondent banking is reopening slowly.	Positive, but execution risk: payments can still be delayed or rejected by foreign banks' compliance teams.
Currency & inflation	New Syrian pound introduced in 2026 (two zeros removed); official and parallel rates converged but remain volatile (official ~SYP 122 per USD in mid-2026).	High. Domestic SYP sales lose USD value when the pound weakens; wages partly offset.
Energy	Grid supply improving with new gas and solar projects, but tariffs have risen and outages continue; industry still relies on diesel generators.	High. Energy was 9.1% of FY2025 sales; the solar project is a direct mitigant.
Reconstruction & demand	Return of refugees and diaspora capital, reconstruction spending and reopened trade routes to Turkey, Jordan, Iraq and the Gulf.	Positive for volumes and for collateral values over time.
Import dependence	Glass bottles, tin, labels, spare parts and machinery are imported and paid in USD.	Medium. Costs are USD-linked; requires reliable FX access.
Legal & collateral	Courts and real-estate registries functioning but slow; some property records damaged or disputed after 2011–2024.	High for enforcement timing; addressed by haircuts and title due diligence.

3.6 Industry analysis: olive oil and Aleppo soap

Syria has historically been one of the larger olive-oil producers in the Mediterranean, with Aleppo and Idlib the core growing regions. The sector suffered from conflict, lost exports and damaged orchards, but trees are long-lived and output is recovering. Prices are set in USD on regional and international markets, which links Qalaa's raw-material cost and its export price to the same currency.

Aleppo laurel soap is a heritage product with a recognised name in Europe and the Gulf. It uses olive-pomace oil, a by-product of pressing, which gives Qalaa an integration advantage over stand-alone soap makers.

Factor	Assessment
Demand	Growing GCC demand for premium and Levantine-origin food; diaspora market
Competition	Fragmented: many small presses; few with export certification and bottling
Supply / climate	Alternate-bearing trees and drought cause ±20–30% harvest swings
Price volatility	International olive-oil prices swung sharply in 2023–2025
Entry barriers	Moderate: certification, brand and buyer relationships
Overall	**Moderately attractive, volatile**

4 Historical financial statements (FY2023–FY2025)

Audited statements, financial year ending 31 December, USD '000. FY2022 is shown as the opening balance sheet. The cash flow statement is derived from balance-sheet movements; closing cash ties to the balance sheet in every year and the balance sheet balances.

Income statement

USD '000	FY2023	FY2024	FY2025
Revenue	**6,180**	**7,420**	**8,860**
Export share	48%	52%	55%
Raw materials & packaging	(3,460)	(4,085)	(4,785)
Direct labour	(420)	(480)	(540)
Energy (diesel & grid)	(690)	(770)	(805)
Gross profit	**1,610**	**2,085**	**2,730**
Selling, general & admin	(610)	(745)	(890)
EBITDA	**1,000**	**1,340**	**1,840**
Depreciation & amortisation	(300)	(330)	(360)
EBIT	**700**	**1,010**	**1,480**
Interest expense	(170)	(150)	(125)
Net FX translation loss	(60)	(40)	(20)
Profit before tax	**470**	**820**	**1,335**
Income tax (20%)	(94)	(164)	(267)
Net income	**376**	**656**	**1,068**
Dividends paid	(80)	(120)	(220)

Balance sheet (31 December)

USD '000	FY2022	FY2023	FY2024	FY2025
ASSETS				
Cash & bank	300	341	287	555
Trade receivables	950	1,050	1,240	1,420
Inventories	1,500	1,640	1,880	2,120
Other current assets	150	170	190	220
Total current assets	**2,900**	**3,201**	**3,597**	**4,315**
PP&E, net	2,900	2,850	2,940	2,960
Total assets	**5,800**	**6,051**	**6,537**	**7,275**
LIABILITIES & EQUITY				
Trade payables	700	770	890	990
Accruals & tax	200	235	265	305
Short-term bank debt	600	650	650	600
Total current liabilities	**1,500**	**1,655**	**1,805**	**1,895**
Long-term bank debt	1,200	1,000	800	600
Total liabilities	**2,700**	**2,655**	**2,605**	**2,495**
Share capital	2,000	2,000	2,000	2,000
Retained earnings	1,100	1,396	1,932	2,780
Total equity	**3,100**	**3,396**	**3,932**	**4,780**
Total liabilities & equity	**5,800**	**6,051**	**6,537**	**7,275**
Balance check (A – L&E)	0	0	0	0

Cash flow statement

USD '000	FY2023	FY2024	FY2025
Net income	376	656	1,068
D&A	300	330	360
Working-capital change	(155)	(300)	(310)
Cash flow from operations	**521**	**686**	**1,118**
Capital expenditure	(250)	(420)	(380)
Net change in bank debt	(150)	(200)	(250)
Dividends	(80)	(120)	(220)
Net change in cash	**41**	**(54)**	**268**
Opening cash	300	341	287
Closing cash (= BS cash)	**341**	**287**	**555**
Free cash flow (CFO – capex)	271	266	738

Analyst commentary

- **Growth:** revenue +20% in FY2024 and +19% in FY2025, driven by bottled exports to the Gulf and price increases; export share rose from 48% to 55%.
- **Margins:** gross margin improved from 26.1% to 30.8% as bottled product (higher price per litre) grew and energy fell as a share of sales.
- **Cash quality:** CFO exceeded net income each year (CFO/NI 1.05x in FY2025); free cash flow of 738k in FY2025.
- **Working capital** absorbs cash as the business grows: NWC rose from 1,700k to 2,465k, about 28% of sales.
- **Deleveraging:** bank debt fell from 1,800k to 1,200k while equity rose to 4,780k; dividends were moderate (≤21% of NI).
- **Watch point:** FY2024 cash dipped to 287k after higher capex, showing limited liquidity buffers in a peak-investment year.

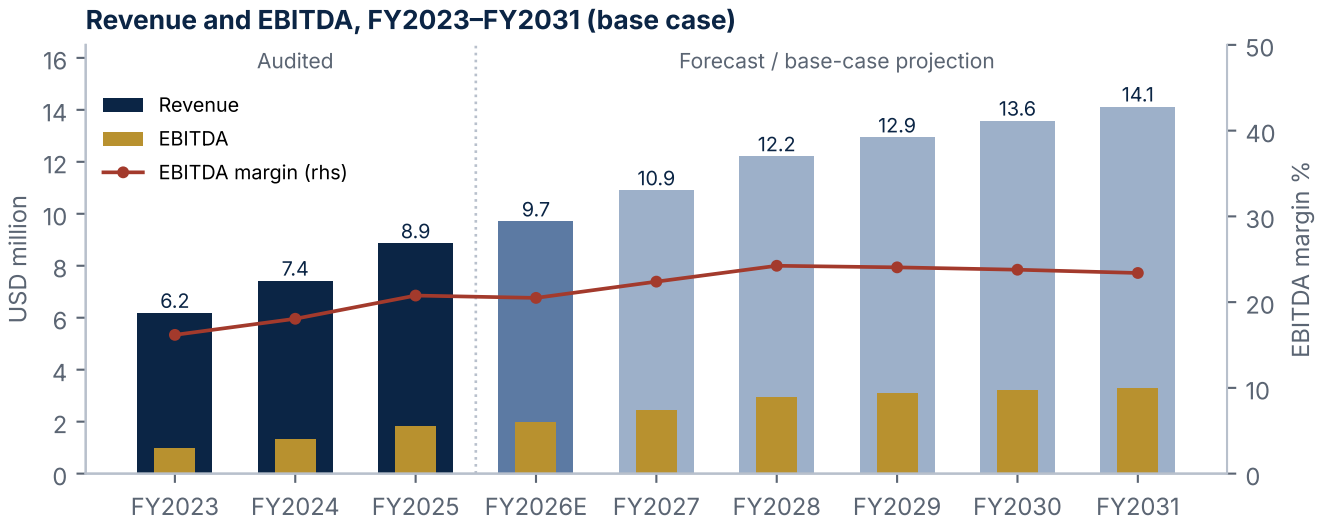


Figure 1. Revenue and EBITDA, audited FY2023–FY2025, FY2026E and base-case projection.

5 Ratio analysis

Ratio	FY2023	FY2024	FY2025	Comment
PROFITABILITY				
Gross margin	26.1%	28.1%	30.8%	Rising: product mix
EBITDA margin	16.2%	18.1%	20.8%	Strong for food processing
Net margin	6.1%	8.8%	12.1%	
Return on assets	6.2%	10.0%	14.7%	
Return on equity	11.1%	16.7%	22.3%	
LIQUIDITY				
Current ratio	1.93x	1.99x	2.28x	Covenant ≥ 1.20x
Quick ratio	0.94x	0.95x	1.16x	~1.0x: inventory-heavy
Cash ratio	0.21x	0.16x	0.29x	Thin cash buffer
LEVERAGE				
Debt / Equity	0.49x	0.37x	0.25x	Covenant ≤ 1.50x
Total Debt / EBITDA	1.65x	1.08x	0.65x	Covenant ≤ 3.00x
Net Debt / EBITDA	1.31x	0.87x	0.35x	
Liabilities / Assets	43.9%	39.9%	34.3%	
COVERAGE				
Interest cover (EBITDA)	5.88x	8.93x	14.72x	Very strong
Interest cover (EBIT)	4.12x	6.73x	11.84x	
Historical DSCR	2.11x	2.94x	4.29x	Pre-project
EFFICIENCY				
DSO	62 d	61 d	58 d	Gulf buyers 60-day terms
DIO	131 d	129 d	126 d	Year-end harvest peak
DPO	61 d	61 d	59 d	
Cash conversion cycle	132 d	129 d	126 d	Improving
Asset turnover	1.02x	1.14x	1.22x	
CFO / Net income	1.39x	1.05x	1.05x	Earnings convert to cash

Interpretation

Profitability is good and improving. EBITDA margin of 20.8% and ROE of 22.3% in FY2025 reflect pricing power in export markets. The margin gain is partly structural (bottled product) and partly cyclical (high international olive-oil prices), so the projections do not extrapolate it further except for the solar saving.

Liquidity is adequate on the current ratio (2.28x) but the quick ratio is near 1.0x, so liquidity depends on selling stock. That supports a borrowing-base revolver and the clean-down clause.

Leverage is low today (0.65x Debt/EBITDA). After the new facilities, pro-forma leverage rises to **1.73x** on FY2026E EBITDA of 1,988k, still well inside the 3.0x covenant, and falls quickly as the term loan amortises.

Coverage is very strong historically (EBITDA/interest 14.7x) because the Company carries little debt. The real test is forward-looking DSCR (Section 6).

Efficiency: the cash conversion cycle shortened from 132 to 126 days. Year-end ratios overstate inventory because 31 December falls right after the harvest.

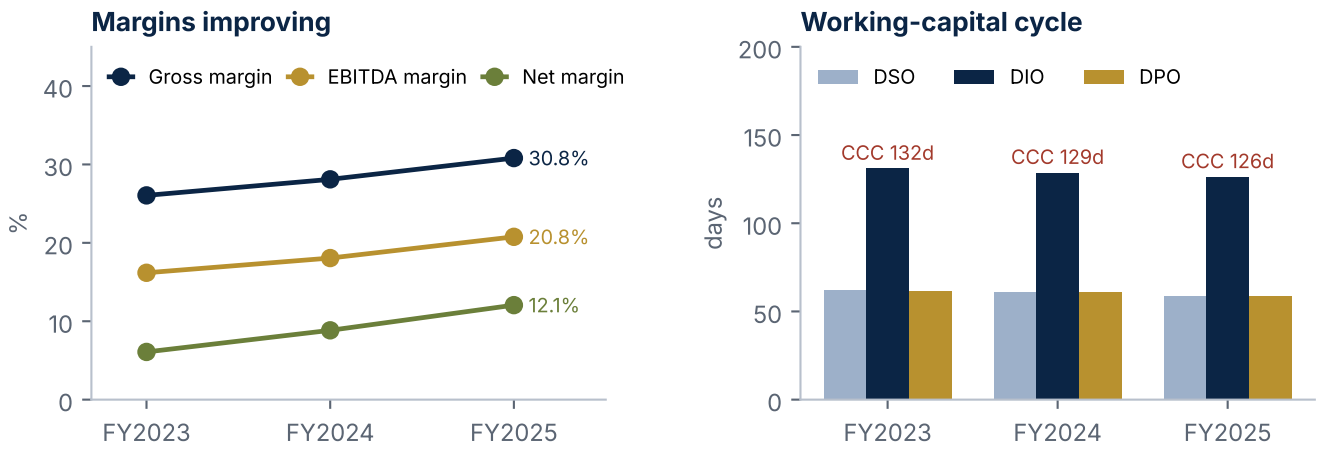


Figure 2. Margin trend and working-capital cycle (DSO, DIO, DPO in days).

6 Cash flow, debt service capacity and stress testing

Debt service capacity is the core of this memo. We define **CFADS = EBITDA − cash tax − maintenance capex − increase in net working capital** and **DSCR = CFADS ÷ (interest + scheduled principal)** on all debt, including the existing loan. Projections start from the FY2026E management estimate (8-month actuals annualised), then apply our own haircuts.

6.1 Base case projection (USD '000)

USD '000	FY2026E	FY2027	FY2028	FY2029	FY2030	FY2031
Revenue	**9,700**	**10,899**	**12,207**	**12,932**	**13,578**	**14,121**
EBITDA	**1,988**	**2,440**	**2,959**	**3,111**	**3,229**	**3,304**
EBITDA margin	20.5%	22.4%	24.2%	24.1%	23.8%	23.4%
Less: cash tax		(282)	(389)	(435)	(471)	(498)
Less: maintenance capex		(218)	(244)	(259)	(272)	(282)
Less: increase in NWC		(324)	(353)	(196)	(175)	(147)
CFADS		**1,617**	**1,972**	**2,221**	**2,312**	**2,378**
Interest & fees		332	312	234	175	117
Scheduled principal		200	800	600	600	600
Total debt service		**532**	**1,112**	**834**	**775**	**717**
DSCR		**3.04x**	**1.77x**	**2.66x**	**2.98x**	**3.32x**
Headroom: CFADS can fall before 1.0x		67.1%	43.6%	62.5%	66.5%	69.9%
Total debt / EBITDA	1.73x	1.32x	0.82x	0.59x	0.38x	0.19x
Cumulative cash after debt service		1,085	1,945	3,333	4,870	6,531

Base case key assumptions: core revenue growth 6%, 6%, 5%, 5%, 4%; new-line uplift 6% in FY2027 rising to 13% from FY2029; raw materials, packaging and labour 61% of sales (vs 60% FY2025, reflecting costlier Gulf retail packaging); energy 6.8% of sales in FY2027 and 5.3% from FY2028 (solar plant commissioned mid-FY2027); opex +8% a year; NWC 27% of incremental sales; maintenance capex 2% of sales; tax 20%. Working-capital releases in a downturn are ignored (conservative).

6.2 Stress scenarios

Scenario	Definition
Base	Management plan, haircut: core growth 4–6%, new-line uplift ramps 6% → 13%, energy 5.3% of sales after solar
Downside	Sales volume −10%; raw-material cost +1.5pp and energy +1.0pp of sales; interest rates +200bp
FX shock	SYP depreciates 50% vs USD; only half recovered through domestic price rises; SYP wages fall in USD terms

6.3 Stress results

Scenario	FY2028 DSCR	Min DSCR	Min EBITDA	Max Debt/ EBITDA	Min cum. cash	DSCR breaches
Base	1.77x	1.77x	2,440	1.32x	1,085	0 of 5
Downside	1.27x	1.27x	1,844	1.75x	869	0 of 5
FX shock	1.29x	1.29x	1,793	1.80x	788	0 of 5
Combined	0.78x	0.78x	1,133	2.85x	111	2 of 5

The FX model: domestic revenue and SYP costs are multiplied by (1 + pass-through × depreciation) ÷ (1 + depreciation). With 50%

Scenario	Definition
Combined	Sales −15%; SYP −40%; raw materials +2.0pp; energy +1.5pp; rates +150bp – a severe but plausible year

depreciation and 50% pass-through this factor is 0.833, so domestic USD revenue falls 16.7%. Raw materials are USD-linked and do not fall.

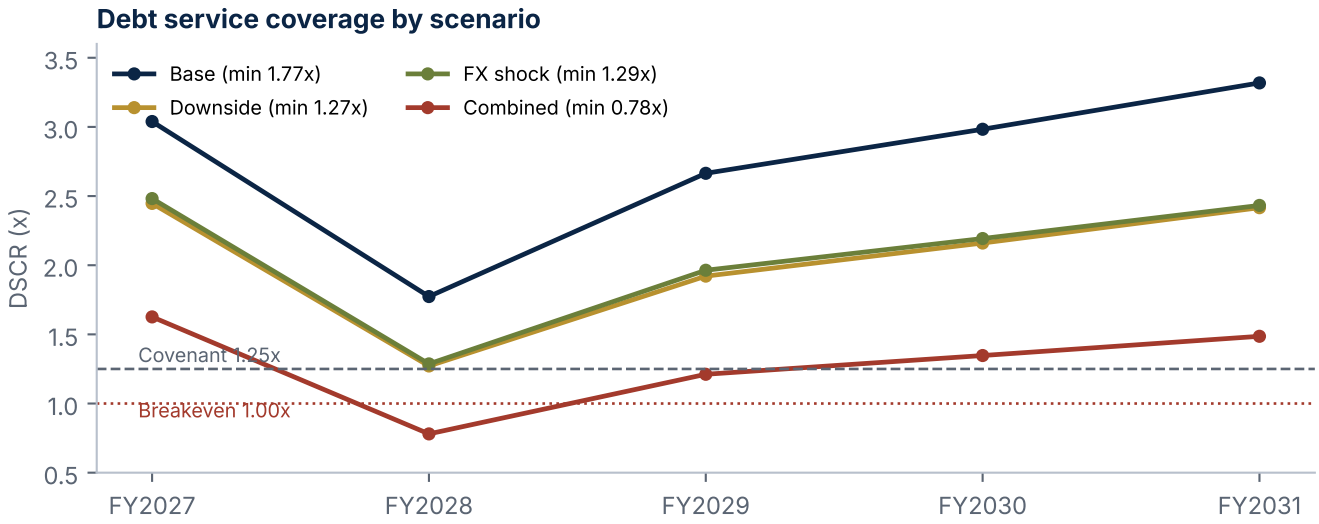


Figure 3. DSCR by scenario against the 1.25x covenant and 1.00x breakeven.

6.4 Sensitivity: FY2028 DSCR to a sales drop and SYP depreciation

Sales ↓ / SYP dep. →	0%	+20%	+40%	+60%	+80%
0%	1.77x	1.53x	1.36x	1.23x	1.12x
-5%	1.65x	1.42x	1.26x	1.14x	1.04x
-10%	1.53x	1.32x	1.16x	1.05x	0.96x
-15%	1.41x	1.21x	1.07x	0.96x	0.88x
-20%	1.29x	1.10x	0.97x	0.87x	0.79x
-25%	1.17x	1.00x	0.87x	0.78x	0.71x
-30%	1.05x	0.89x	0.78x	0.69x	0.63x

Green ≥1.50x · Yellow 1.25–1.50x · Orange 1.00–1.25x · Red <1.00x.

How to read the grid

Each cell answers one question: *if sales fall by the row amount and the SYP weakens by the column amount in FY2028, how many times does cash flow cover debt service?* FY2028 is used because it is the tightest year in every scenario. Each cell is a live formula in the *Sensitivity* sheet, and the (0%, 0%) cell reconciles exactly to the base case (1.77x).

Breakeven: with no FX move, sales can fall about 30% before FY2028 DSCR reaches ~1.05x; with SYP −40%, a 15% sales fall brings DSCR to ~1.07x. 25 of 35 cells are below the covenant and 14 are below 1.00x, all in the lower-right corner where several shocks hit at once.

6.5 What the numbers tell us

- **Base case is comfortable.** Minimum DSCR 1.77x gives a 30% CFADS cushion before the 1.25x covenant is breached and 44% before cash runs short (DSCR 1.0x).
- **Single shocks are absorbed.** The Company can take a 10% sales fall with higher costs and rates (DSCR 1.27x), or a 50% SYP devaluation (DSCR 1.29x), and stay above covenant. The export base is what makes the FX shock survivable: a pure domestic seller would not be.
- **Combined stress is a liquidity, not a solvency, problem.** FY2028 CFADS falls short of debt service by ~255k, which the 278k DSRA covers; leverage peaks at 2.85x, inside the 3.0x covenant, and cumulative cash stays positive. Covenant breaches in FY2028–29 would trigger a waiver discussion and cash sweep, not a payment default.
- **Structure choice:** we considered sculpting repayments around the FY2028 peak but kept equal instalments with a DSRA, which is simpler to monitor and keeps the average life short (about 3.1 years from drawdown).

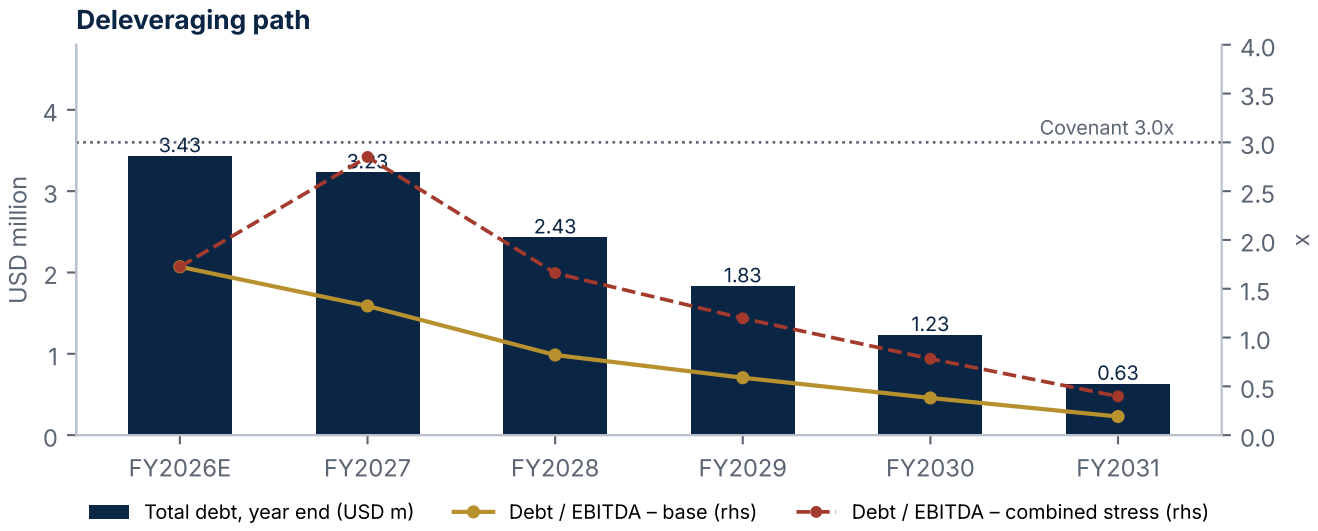


Figure 4. Total debt and Debt/EBITDA, base case and combined stress.

7 Collateral analysis

Security is a second way out, not the reason to lend. In Aleppo, where enforcement can take 12–24 months and buyers for industrial property are few, we apply heavy haircuts to market values to estimate what the bank could realistically recover.

Security item	Basis of value	Market value	Haircut	Lending value	Rationale
First-degree mortgage: factory land & buildings, Sheikh Najjar Industrial City	Independent valuer, Sep-2026	2,600	40%	1,560	Thin real-estate market, 12–24m enforcement, title/registry checks
Pledge over new press, bottling line & solar PV	Invoice cost (CIF Aleppo)	3,200	55%	1,440	Specialised assets; resale and removal costs
Assignment of eligible export receivables	Avg. eligible balance	1,000	30%	700	Gulf buyers on LC / credit insurance
Pledge over finished-goods inventory (olive oil)	Avg. stock at cost	1,200	50%	600	Seasonality, price swings, storage control
Cash collateral – Debt Service Reserve Account	Cash at BAC	278	0%	278	Cash held at BAC; no haircut
Personal guarantee – Khaled Al-Sabbagh	Support only	–	–	–	Net worth statement provided; not relied on for value
Total security		**8,278**	**45%**	**4,578**	

Coverage and LTV

Measure	Value
Total BAC exposure (TL + RCF limit)	3,300
LTV on market value	39.9%
LTV on lending value (post-haircut)	72.1%
Collateral coverage (lending value ÷ exposure)	1.39x
Term loan LTV on real estate + equipment (market)	41.4%
Term loan LTV on real estate + equipment (lending value)	80.0%
RCF borrowing base (receivables + stock, after haircut)	1,300 (1.44x of limit)
Stress: real estate –30%, equipment –20%: coverage / LTV	**1.16x / 86.3%**

How the haircuts were set

- **Real estate 40%:** forced-sale discount in a thin market, 12–24 month enforcement, legal costs, and residual title or registry risk for property records affected by the conflict.
- **Equipment 55%:** specialised machinery has few local buyers; dismantling and export of assets cut recoveries. Value falls with use (straight-line over 10 years).
- **Receivables 30%:** only eligible Gulf receivables on LC or credit insurance, under 90 days, with concentration limits.
- **Inventory 50%:** commodity price swings, quality decay and the need for warehouse control.
- **DSRA 0%:** cash held and pledged at BAC.

Formula: LTV = exposure ÷ value. Lending value = market value × (1 – haircut). Example: real estate 2,600 × (1 – 40%) = 1,560.

Measure	Value
BAC policy: max LTV on lending value	85% – within policy

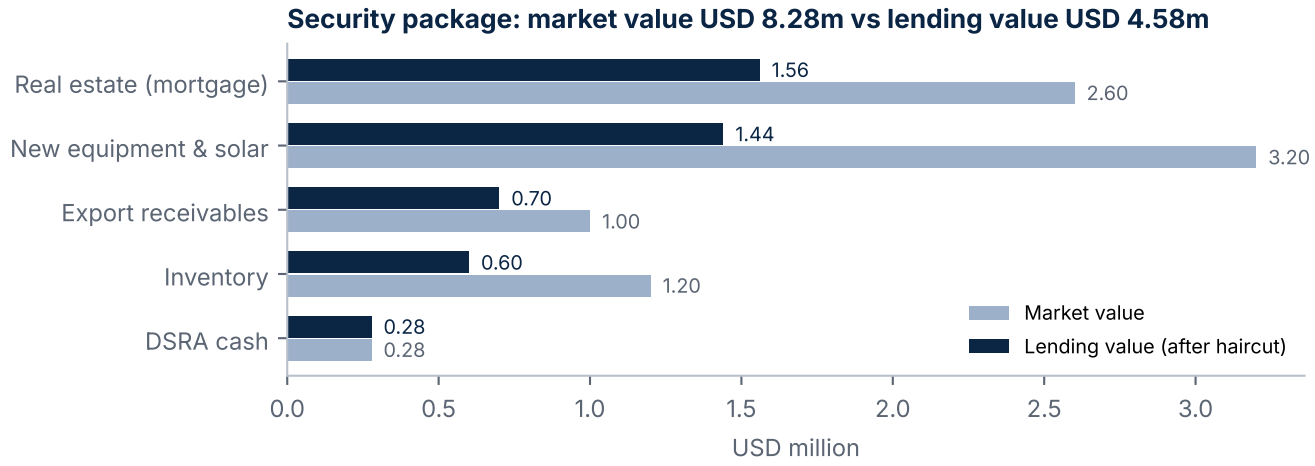


Figure 5. Market value versus lending value by security item (USD m).

8 Risk analysis: 5 Cs, rating scorecard and mitigants

8.1 The 5 Cs of credit

C	Assessment	View
Character	Founder-led family business since 1998; clean repayment record with two local banks; audited accounts since FY2023; transparent in due diligence. Minority Gulf shareholder adds governance but needs UBO verification.	Satisfactory
Capacity	Base DSCR min 1.77x, downside 1.27x; strong historical cash conversion (CFO/NI 1.05x); repayment from operating cash flow within 5 years.	Good
Capital	Equity 4,780k, Debt/Equity 0.25x; sponsors contribute 25% (USD 0.8m) of the project; retained earnings policy conservative.	Good
Collateral	Market value 8,278k, lending value 4,578k; coverage 1.39x; LTV 72% on lending value; enforcement uncertain in Aleppo.	Adequate
Conditions	Sanctions relief and reconstruction support demand, but SYP volatility, energy constraints, thin correspondent banking and harvest swings remain material.	Weak–moderate

8.2 Internal risk rating scorecard

Factor	Weight	Metric	Score	Weighted
FINANCIAL RISK				
Minimum base-case DSCR	15%	1.77x	8	1.20
Minimum downside DSCR	10%	1.27x	5	0.50
Pro-forma Debt/EBITDA	10%	1.73x	8	0.80
EBITDA margin FY2025	10%	20.8%	8	0.80
Current ratio FY2025	5%	2.28x	9	0.45
BUSINESS RISK				
Industry outlook	5%	Qualitative	7	0.35
Market position & diversification	10%	Qualitative	7	0.70
Management & governance	10%	Qualitative	6	0.60
COUNTRY RISK				
Country, FX & sanctions legacy	10%	Qualitative	3	0.30

Rating outcome

BAC-4

Satisfactory
Weighted score 6.50 / 10
Indicative 1-year PD 1.5%

Quantitative factors are scored by formula from the model; qualitative factors use analyst judgement against written criteria. The scorecard result (score ≥ 6.0 → BAC-4) coincides with the **country ceiling of BAC-4** for Syrian corporates, so the rating cannot improve with stronger financials alone. Financial strength (DSCR, leverage, margins) pulls the score up; the country, FX and enforceability factors pull it down.

Master scale (illustrative): ≥8.0 BAC-2 Strong; ≥7.0 BAC-3 Good; ≥6.0 BAC-4 Satisfactory; ≥5.0 BAC-5 Acceptable; ≥4.0 BAC-6 Watch; <4.0 BAC-7 Substandard.

Factor	Weight	Metric	Score	Weighted
Energy & supply chain	5%	Qualitative	5	0.25
SECURITY RISK				
Collateral coverage	5%	1.39x	7	0.35
Enforceability of security	5%	Qualitative	4	0.20
Weighted score → rating	**100%**			**6.50**

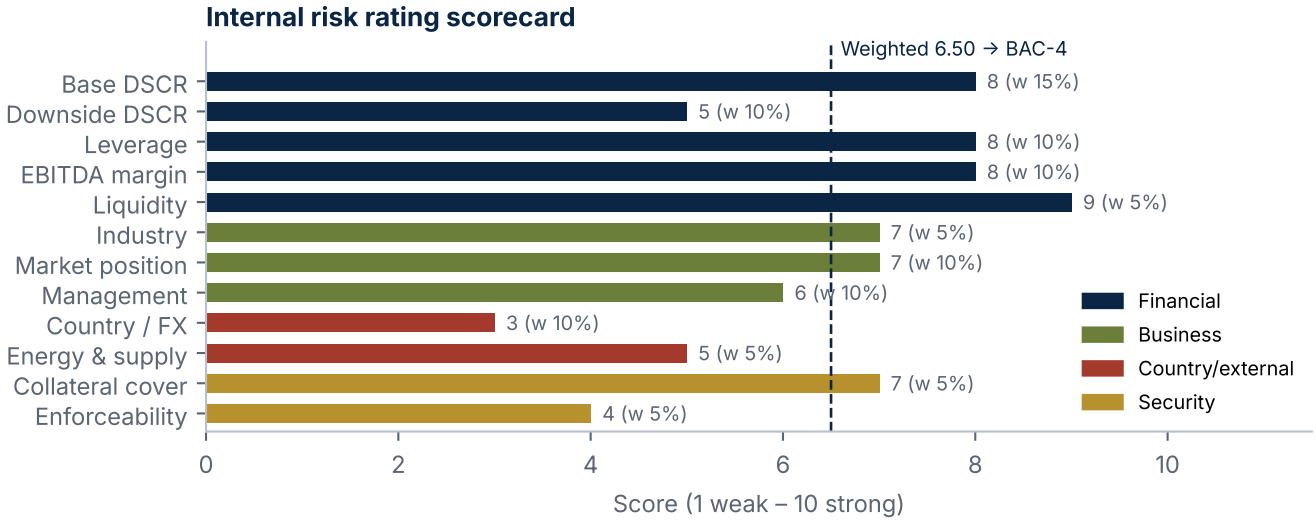


Figure 6. Scorecard factor scores by risk group.

8.3 Key risks and mitigants

Risk	Level	Mitigants
Country / FX convertibility	High	USD export pricing; ≥60% of export proceeds through BAC accounts; DSRA in USD; FX stress tested at 50% SYP depreciation
Repayment peak FY2028	Medium	12-month grace; DSRA one quarter of debt service; dividend lock-up below 1.50x DSCR; cash sweep of 50% of excess cash if DSCR < 1.25x
Energy cost and outages	Medium	Solar PV with EPC performance guarantee; diesel back-up retained; energy cost tested +1.5–2.0pp
Harvest / commodity price	Medium	Multi-region sourcing; stock carried at cost; borrowing-base haircuts; 20% sales stress
Key-person and governance	Medium	Key-person life insurance assigned; succession plan as condition subsequent; quarterly reporting
Collateral enforcement	High	40% real-estate haircut; title search and registry confirmation; legal opinion; PG; cash collateral
Sanctions / AML compliance	Medium	Full KYC and screening of shareholders, Gulf partner, buyers and suppliers; sanctions clause and right to suspend
Project execution	Low–medium	Fixed-price supplier contracts; payments direct to suppliers; 6% contingency; completion certificate before final draw

9 Covenants, conditions precedent and final recommendation

9.1 Financial covenants (tested annually on audited accounts, semi-annually on management accounts, LTM basis)

- Minimum DSCR **1.25x**
- Maximum Total Debt / EBITDA **3.00x**, stepping down to 2.50x from FY2029
- Maximum Debt / Equity **1.50x**
- Minimum current ratio **1.20x**
- Dividends ≤ 40% of net income, and only if DSCR ≥ 1.50x and no default
- Capex outside the project ≤ USD 400k a year without consent

9.2 Information and general covenants

- Audited accounts within 120 days; quarterly management accounts within 45 days; annual budget
- Monthly borrowing-base certificate and aged receivables list (RCF)
- Revaluation of mortgaged property every 2 years, at the borrower's cost
- Route at least 60% of export proceeds through BAC accounts
- Negative pledge; no new financial debt above USD 250k; no change of control
- Maintain insurance (property, machinery, stock, credit insurance) assigned to BAC
- Comply with AML/CFT, sanctions and environmental laws; notify any listing of a counterparty

9.3 Conditions precedent to first drawdown

1. Signed facility agreement, board and shareholder resolutions
2. First-degree mortgage registered at the Aleppo real-estate registry, with clean title search
3. Independent valuation report addressed to BAC (not older than 6 months)
4. Evidence that USD 800k sponsor equity is paid in (USD 400k fresh cash deposited at BAC)
5. DSRA funded with 278k (one quarter of peak debt service)
6. KYC/UBO and sanctions screening of all shareholders incl. Al-Noor Foods Trading FZE, key Gulf buyers and equipment suppliers
7. Release letter and payoff statement from the existing short-term lender; intercreditor letter from the existing term lender
8. Supplier contracts and EPC contract with performance guarantee for the solar plant; insurance assignment
9. Legal opinion on validity and enforceability of the security package; personal guarantee executed
10. Payment of arrangement fees

9.4 Conditions subsequent

- Equipment pledge registered within 30 days of delivery; completion certificate within 9 months
- Key-person insurance on Founder and MD assigned within 60 days; written succession plan within 12 months

9.5 Covenant headroom – base case

Test	FY2027	FY2028	FY2029	FY2030	FY2031
DSCR (min 1.25x)	3.04x	1.77x	2.66x	2.98x	3.32x
Debt / EBITDA (max 3.0x)	1.32x	0.82x	0.59x	0.38x	0.19x
Result – base case	PASS	PASS	PASS	PASS	PASS

9.6 Final recommendation

Corporate Credit recommends that the Credit Committee **APPROVE WITH CONDITIONS** a USD 2.40m five-year amortising term loan and a USD 0.90m one-year revolving credit facility to Qalaa Olive & Laurel Industries LLC, rated **BAC-4 (Satisfactory)**, on the terms, covenants and conditions set out in this memorandum.

The decision rests on (i) proven, cash-generative operations with USD export revenue; (ii) a base-case minimum DSCR of 1.77x and full amortisation within five years; (iii) low pro-forma leverage of 1.73x; and (iv) a tangible security package with 1.39x lending-value coverage. The structure protects the bank against the main downside paths through the DSRA, dividend lock-up, cash sweep and borrowing-base controls. A decline would be appropriate if the mortgage cannot be registered with clean title, if sponsor equity is not paid in, or if KYC and sanctions screening of the Gulf shareholder is not satisfactory.

PREPARED BY	REVIEWED BY	CREDIT RISK CONCURRENCE	CREDIT COMMITTEE DECISION
Yamen Agha	**Name:** _____	**Name:** _____	☐ Approved ☐ Approved with conditions ☐ Declined
Credit Analyst, Corporate Credit	Senior Relationship Manager	Head of Corporate Credit Risk	Chair, Credit Committee
Date: 13 October 2026	Date: _____	Date: _____	Date: _____

A Appendix: methodology, assumptions and model checks

A.1 Methodology

- **Historical statements:** income statement and balance sheet are inputs; PP&E and retained earnings roll forward by formula; the cash flow statement is built from balance-sheet movements, and its closing cash feeds the balance sheet.
- **Projections:** revenue = core revenue × (1 + new-line uplift); costs as % of sales or growing opex; all scenarios are formula-driven from one table of shocks.
- **CFADS** = EBITDA – cash tax – maintenance capex – max(0, ΔNWC).
- **Debt service** = interest and fees on all facilities + scheduled principal (TL and existing loan). RCF principal is revolving and excluded, but its clean-down is a covenant.
- **FX:** SYP-priced revenue and costs × (1 + p·d)/(1 + d), where d = depreciation, p = price pass-through.
- **Collateral:** lending value = market value × (1 – haircut); LTV = exposure ÷ value.
- **Rating:** 12 weighted factors scored 1–10 → master scale, capped by country ceiling.

A.2 Key inputs

Input	Value
Term loan / rate	2,400k / 9.75%
RCF limit / rate / utilisation	900k / 9.00% / 70%
Grace / amortisation	1 year / 4 years
Tax rate	20%
Export share (projection)	58%
SYP share of opex	65%
NWC / maintenance capex	27% / 2% of sales

A.3 Model integrity checks (Excel *Checks* sheet)

Check	Result
Balance sheet balances – all years (sum of abs differences)	PASS
CF closing cash ties to BS cash – all years	PASS
Retained earnings roll-forward (FY2025 RE – opening – ΣNI + Σdiv)	PASS
Term loan fully repaid by FY2031	PASS
Sum of term-loan repayments = facility amount	PASS
Sensitivity grid (0%,0%) reconciles to base FY2028 DSCR	PASS
Scorecard weights sum to 100%	PASS
Collateral lending value ≤ market value	PASS
Base FY2028 is the tightest DSCR year	PASS
Historical closing cash positive all years	PASS

Workbook recalculated in LibreOffice (headless) with no formula errors. All checks read **ALL PASS**.

A.4 Excel model map

Sheet	Content
Dashboard	Key outputs and charts
Assumptions	All inputs (blue)
IS / BS / CF	Historical statements
Ratios	25 ratios
Debt_Schedule	Facilities and existing loan
Projections	4 scenarios × 5 years
Sensitivity	35-cell DSCR grid
Collateral	LTV and haircuts
Scorecard	Rating
Checks	Integrity tests

Disclaimer. Fictional case study for illustration only. All names, entities and numbers are invented. Not a real credit decision or investment advice.